

		Plaintiff alleges sufficient facts to support a cause of action for right to property based on breach of express contract. (FAC ¶¶ 11, 13, 19, 48-53.) <u>Eighth cause of action for breach of implied contract for reimbursement of mortgage contributions</u> Plaintiff alleges sufficient facts to support a cause of action for breach of implied contract for reimbursement of mortgage contributions. (FAC ¶¶ 11, 13, 19, 55-60.) The Court ORDERS Defendant to file an answer within 5 days. Plaintiff to give notice.
11	DI Overnite Investments, LLC vs. Nabal 30-2024-01393386-CU-BT-CJC	Demurrer to First Amended Cross-Complaint The (Amended) Demurrer to FACC of Cross-Defendants DI Overnite Investments, LLC, Renaissance Ventures, LLC, Joseph Varraveto, and Douglas Garamoni, is OVERRULED. <u>First Cause of Action – Fraud:</u> The FACC adequately alleges Cross-Defendants made false accusations against Cross-Complainant which were part of a scheme to coerce the majority of voting rights-holders to vote to terminate Cross-Complainant. (FACC, ¶ 17.) This is adequate to allege fraud. <u>Second Cause of Action – Declaratory Relief (incorrectly labeled third cause of action on p. 12):</u> The FACC adequately alleges a controversy regarding whether the termination/removal of Cross-Complainant as CEO and related acts were lawful or void. (FACC, ¶¶ 40.) <u>Third Cause of Action – Civil Extortion against DI Overnite Investments LLC, Joe Varraveto, and Douglas M. Garmoni only:</u> “Extortion is the obtaining of property or other consideration from another, with his or her consent, or the obtaining of an official act of a public officer, induced by a wrongful use of force or fear, or under color of official right.” (Pen. Code, § 518, subd. (a).) “Fear, such as will constitute extortion, may be induced by a threat of any of the following: 1. To do an unlawful injury to the person or property of the individual threatened or of a third person.

	2. To accuse the individual threatened, or a relative of his or her, or a member of his or her family, of a crime. [¶]...[¶]" (Pen. Code, § 519.) Cross-Complainant has adequately alleged he had the legal right to possess the company vehicles and Movants' threat to make a police report was wrongful. (FACC, ¶¶ 50-51.) <u>Fourth Cause of Action – Civil Extortion against DI Overnite Investments, LLC, Renaissance Ventures LLC, and Joseph Varraveto only:</u> This extortion claim is based on threats allegedly made to Mike Martin to sign a proxy of his voting rights and take other action against Cross-Complainant or Martin would be subject to adverse action regarding his employment among other acts. (FACC, ¶ 61.) Cross-Complainant alleges these acts coerced Martin to go along with his removal as CEO. (¶ 62.) Although Cross-Complainant does not allege he was the subject of extortionate threats in this claim, he alleges the existence of extortion as well as claimed damages arising from his termination including taking of the company vehicles. Movants fail to cite legal authority holding such a claim based on extortion directed at a third party is not viable. <u>Fifth Cause of Action – Wrongful Termination in Violation of Public Policy:</u> "The discharge of an employee in contravention of fundamental public policy, as expressed in a statute or constitutional provision, can serve as the basis for a tort action for wrongful discharge." (<i>Khajavi v. Feather River Anesthesia Medical Group</i> (2000) 84 Cal.App.4th 32, 51.) As discussed above, Cross-Complainant has adequately alleged his termination violated public policy arising from his claims of theft and extortion. <u>Sixth Cause of Action – RICO:</u> As discussed above, the FACC adequately pleads acts including fraudulent interstate communications, a false police report, and extortion of Mr. Martin as part of an illegal scheme to wrongfully remove Cross-Complainant from his position with the company. Cross-Defendants are ORDERED to file an answer within 5 days.
--	--

	Clerk to give notice. Special Motion to Strike (Anti-SLAPP) First Amended Cross-Complaint The Anti-SLAPP Motion to Strike Portions of the First Amended Cross-Complaint (FACC) by Cross-Defendants DI Overnite Investments, LLC, Joseph Varraveto, Renaissance Ventures LLC, and Douglas M. Garamoni is DENIED. Movants seek to strike the cause of action for violation of Federal Racketeer Influenced and Corrupt Organizations Act (RICO). Although the motion incorrectly identifies this as the seventh, rather than the sixth, cause of action, the Court will address the merits because the scope of the motion is sufficiently clear. <u>Legal Standard:</u> "A cause of action against a person arising from any act of that person in furtherance of the person's right of petition or free speech under the United States Constitution or the California Constitution in connection with a public issue shall be subject to a special motion to strike, unless the court determines that the plaintiff has established that there is a probability that the plaintiff will prevail on the claim." (Code Civ. Proc., § 425.16, subd. (b)(1).) "Section 425.16 posits ... a two-step process for determining whether an action is a [strategic lawsuit against public participation]. First, the court decides whether the defendant has made a threshold showing that the challenged cause of action is one arising from protected activity.... If the court finds that such a showing has been made, it must then determine whether the plaintiff has demonstrated a probability of prevailing on the claim." (<i>Navellier v. Sletten</i> (2002) 29 Cal.4th 82, 88.) "Only a cause of action that satisfies both prongs of the anti-SLAPP statute – i.e., that arises from protected speech or petitioning and lacks even minimal merit – is a SLAPP, subject to being stricken under the statute." (<i>Id.</i> at p. 89.) Litigation of an anti-SLAPP motion involves a two-step process. "First, the moving defendant bears the burden of establishing that the challenged allegations or claims arise from protected activity in which the defendant has engaged. Second, for each claim that does arise from protected activity, the plaintiff must show the claim has at least minimal merit. If the plaintiff cannot make this
--	---

showing, the court will strike the claim.” (*Bonni v. St. Joseph Health System* (2021) 11 Cal.5th 995, 1009 [cleaned up] (*Bonni*).)

Step One – Protected Activity:

“The sole inquiry under the first prong of the anti-SLAPP statute is whether the plaintiff’s claims arise from protected speech or petitioning activity. [Citation.] Our focus is on the principal thrust or gravamen of the causes of action, *i.e.*, the allegedly wrongful and injury-producing conduct that provides the foundation for the claims.” (*Castleman v. Sagaser* (2013) 216 Cal.App.4th 481, 490–491.)

Here, the sixth cause of action alleges violations of RICO, 10 U.S.C. § 1961, based on communications related to the termination/removal of Cross-Complainant as CEO (FACC, Exs. 1, 3, 4, 5) and an alleged false police report regarding Cross-Complainant trespassing with armed individuals posing as security guards, threatening/coercing employees, and engaging in gender/sex discrimination. (FACC, ¶¶ 83-84.) The FACC alleges these seven categories of communications constituted “fraudulent acts of extortion, mail fraud, wire fraud and filing a false police report.” (¶ 77.)

Movants contend the sixth claim arises “in substantial part” from “the alleged report to law enforcement,” which included a claim involving Cross-Complainant’s improper use/theft of company vehicles. (FACC, ¶ 50, Motion, 6:22-23, 7:9-10.) Movants contend making a police report is protected activity. However, Movants do not cite legal authority showing the other categories of communications which this claim is based on are protected.

The Motion only seeks relief as to the entire RICO cause of action; it does not request in the alternative to strike any portion of that cause of action. The RICO cause of action is based on seven specified acts or communications, of which the allegedly false police report is the seventh. The Motion fails to address the other six factual bases for this claim.

“If a cause of action contains multiple claims and a moving party fails to identify how the speech or conduct underlying some of those claims is protected activity, it will not carry its first-step burden as to those claims.” (*Bonni, supra*, 11 Cal.5th at p. 1011.)

		Because the motion only addresses one of several factual bases for this cause of action, Movants have failed to meet their burden of showing the claim arises from protected activity. Cross-Defendants are ORDERED to file an answer within 5 days. Clerk to give notice.
--	--	---